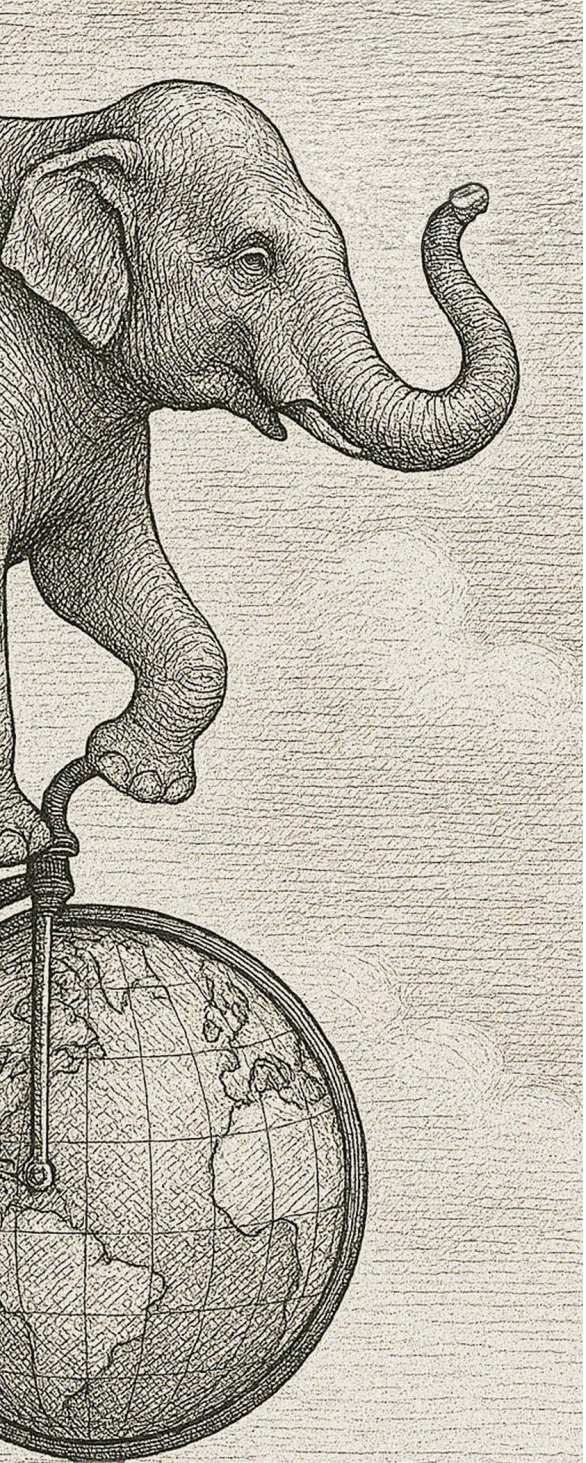


INDIA'S MOMENT

- **Reduce duties:** Duties on inputs and components that go into manufacturing and exports should come down to zero
- **Rationalise QCOs:** This is necessary as Quality Control Orders have proliferated and are impacting inputs and components
- **States must become more active:** They should be the drivers in penetrating global markets

Second, we must liberalise the trade regime for critical inputs. In electronics, machinery, transport and others, we impose higher tariffs than competitors, harming our manufacturing competitiveness. Adopting a free-trade regime for key industry inputs is essential. Non-tariff barriers (NTBs), particularly quality control orders (QCOs), have proliferated, making it costly for industries like textiles to source raw materials. Studies indicate that QCOs have surged from hundreds to thousands, complicating foreign firms' ability to sell in India. We must eliminate these QCOs for critical inputs. Additionally, we should proactively sign trade agreements to protect interests and encourage investments in sectors like food processing, which can create lakhs of jobs.

Third, we must renew momentum in building our infrastructure. Large-scale projects like freight corridors and high-speed rail have seen cost and time overruns. These projects must be brought back on track, and private investment in infrastructure must be reignited. While public capex has stabilised at 3.5-4 per cent of the GDP in the past years, this must be further increased to 6 per cent. The focus must be on building regional connectivity, such as regional transit systems and airports, and upgrading our ports.

WE MUST NOT ALLOW AI AND FRONTIER TECHNOLOGIES TO BE THE MONOPOLIES OF A FEW COUNTRIES OR COMPANIES, AS HAPPENED WITH TECHNOLOGICAL REVOLUTIONS OF THE PAST

Fourth, as we seek to move up the value chain, both in manufacturing and services, research and development (R&D) will be crucial. The Rs 1 lakh crore R&D fund announced in the July 2024 budget must be operationalised as soon as possible. The DeepTech Fund of Funds, announced in the February 2025 budget, must also be operationalised at the earliest. We must not allow Artificial Intelligence and these frontier technologies to be the monopolies of a few countries or companies, as happened with the technological revolutions of the past. We need to drive investments in DeepTech and clean tech, such as advanced cell chemistry (ACC) batteries, solar panels and electrolysers.

Finally, long-term plans for energy security must be set into motion now. While oil prices have not reacted adversely, geopolitical shocks almost always lead to energy price shocks, as we saw in February 2022. This is closely tied to R&D. Addressing energy storage and alternate fuels for hard-to-abate sectors will ensure our energy security in the long term.

We must also share our knowledge and experience with the world. India's development model, digital public infrastructure and playbook on climate action, which have led to significant improvements in healthcare, education and environmental sustainability, can be models for the Global South. This, in turn, will open up significant trading and investment opportunities for India and Indian companies.

The reshaping of globalisation, marked by shifting trade rules and emerging technologies, presents a massive opportunity for India. This realignment is not a threat—it is our moment. ■

Illustration by NILANJAN DAS